

Specific Standards for Bond Investment

IV. FOURTH PRINCIPLE: DEFINITE STANDARDS OF SAFETY MUST BE APPLIED

Since the selection of high-grade bonds has been shown to be in good part a process of exclusion, it lends itself reasonably well to the application of definite rules and standards designed to disqualify unsuitable issues. Such regulations have in fact been set up in many states by legislative enactment to govern the investments made by savings banks and by trust funds. In most such states, the banking department prepares each year a list of securities which appear to conform to these regulations and are therefore considered “legal,” *i.e.*, eligible for purchase under the statute.

It is our view that the underlying idea of fixed standards and minima should be extended to the entire field of straight investment, *i.e.*, investment for income only. These legislative restrictions are intended to promote a high average level of investment quality and to protect depositors and beneficiaries against losses from unsafe securities. If such regulations are desirable in the case of institutions, it should be logical for individuals to follow them also. We have previously challenged the prevalent idea that the ordinary investor can afford to take greater investment risks than a savings bank, and need not therefore be as exacting with respect to the soundness of his fixed-value securities. The experience since 1928 undoubtedly emphasizes the need for a general tightening of investment standards, and a simple method of attaining this end might be to confine all straight-bond selections to those which meet the legal tests of eligibility for savings banks or trust funds. Such a procedure would appear directly consonant with our fundamental principle that straight